Report on NVIDIA

NVDA

NASDAQ

Santa Clara, CA

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Introduction

Nvidia Corporation is an American technology company headquartered in Santa Clara, California. In October 2025, Nvidia became the first company to breach $5 trillion in market valuation in the American stock exchange Nasdaq (Reuters, 2025). The increasing demand and use of AI has increased the profit and value of Nvidia. The company has positioned itself at the heart of the global AI revolution.

Company history

Nvidia was founded on April 5, 1993, by Jensen Huang, Chris Malachowsky, and Curtis Priem. The initial focus of the company was on designing and producing 3D graphics processors for computing and video games. In 1999 Nvidia introduced the world's first GPU, GeForce 256. GeForce 256 paved the way for the company to be the major player in the graphic market, leading it to become a public company by the same year through an initial public offering (IPO). On March 5, 2000, Nvidia joined the agreement with Microsoft to develop and provide the graphics processors for the first Xbox gaming console (WSJ, 2011). In 2006 the company introduced the CUDA (Compute Unified Device Architecture) platform. Primarily applied in areas like machine learning, scientific simulations, data analysis, and high-performance computing, this was another big milestone in the company's growth history.

Notably, it donated the DGS-1 supercomputer to OpenAI in 2016. By 2017 Nvidia's market capitalization crossed $100 billion. Over the year the growth of AI and other technologies has led it to cross $1 trillion of market capitalization in 2023, and by the June of 2024, it became the most valuable company in the world, surpassing Apple and Microsoft. Currently, as explained above, its valuation surpassed $5 trillion to become again the number one company in the world. Which is, of course, fueled by an increase in the use of AI technologies like ChatGPT, DeepSeek, Gemini, and more. Over time, the massive growth in technology has just strengthened Nvidia's position to be a market leader, and today, the company's GPUs power many of the world's fastest supercomputers (Investopedia).

Structure of Company

Nvidia is known as the company with minimal bureaucracy, using the term "align" rather than "control" and "undivided company." Its President and CEO Jensen Huang has said in one video interview that "I hate the word 'divide.' We don't have business units because why would someone exist as one? I wanted a system that was organized much more like a computing unit, like a computer, to deliver output as efficiently as possible." He says that's why a company's organization looks a little like a computing stack. According to him, the company was created to adapt to the world of change. Nvidia's focus on innovation, excellence, determination, and growth are the keys to its success. As the company consistently prioritizes fostering a dynamic and inclusive workplace, this approach has attracted top talents to make the company a success.

Products and services

NVIDIA works on designing and selling specialized computer chips (GPUs) and systems for a wide range of applications, from gaming and professional visualization to artificial intelligence (AI), data centers, and automotive technology. The company provides both the hardware and the software platforms, like CUDA. The company sells the products in areas such as cloud service, data center, embedded system, gaming, graphics, laptop, networking, workstation, and software for apps and tools. Neo LLM, DGX platform, Jetson, GeForce, Blackwell architecture, and Ethernet are some of its products (Nvidia). According to Investopedia, NVIDIA earns most of its revenue through its "Compute & Networking" business segment, which includes data-center chips, AI hardware and software, and networking solutions.

Its initial business was selling GPUs for gaming and professional workstations, and it is now only a smaller portion of overall revenue.

Geographic area of operations

As a technology company NVIDIA serves across entire globe to its customers. The company's major markets are the U.S., Asia, and Europe. The company manufactures its chips in-house as well as through third-party manufacturers, primarily Taiwan Semiconductor Manufacturing Company (TSMC). It has collaborations with companies like Foxconn, Wistron, and Quanta to handle the assembly of the components into final products.

Recent developments

As NVIDIA continues its rapid growth, NVIDIA has announced a collaboration with Oracle Corporation and the U.S. Department of Energy to build the largest AI supercomputer in the U.S. It will feature 100,000 of its Blackwell-architecture GPUs (NvidiaNews). The company also introduced the NVQ Link system architecture to tightly couple quantum processors and GPUs to build quantum-accelerated AI. The passing market capitalization of $5 trillion is the biggest achievement in the company's history.

NVIDIA'S Financials Overview

NVIDIA Corporation and Subsidiaries Consolidated Statements of Income

(In millions, except per share data)

Description	**Year Ended Jan 26, 2025**
Revenue	$130,497
Gross profit	97,858
Total operating expenses	16,405

Operating income	81,453
Interest income	1,786
Interest expense	-247
Other, net	1,034
Other income (expense), net	2,573
Net income	$72,880

NVIDIA Corporation and Subsidiaries Consolidated Balance Sheets

(In millions, except par value)

Description	**26-Jan-25**
Total current assets	80,126
Property and equipment, net	6,283
Operating lease assets	1,793
Goodwill	5,188
Intangible assets, net	807
Deferred income tax assets	10,979
Other assets	6,425
Total assets	$111,601

Liabilities and Shareholders' Equity

Total current liabilities	**18,047**
Long-term debt	8,463
Long-term operating lease liabilities	1,519
Other long-term liabilities	4,245
Total liabilities	32,274
Shareholders' equity:	
Common stock, $0.001 par value	24
Additional paid-in capital	11,237
Accumulated other comprehensive income	28
Retained earnings	68,038
Total shareholders' equity	79,327
Total liabilities and shareholders' equity	$111,601

NVIDIA'S Revenue & Income

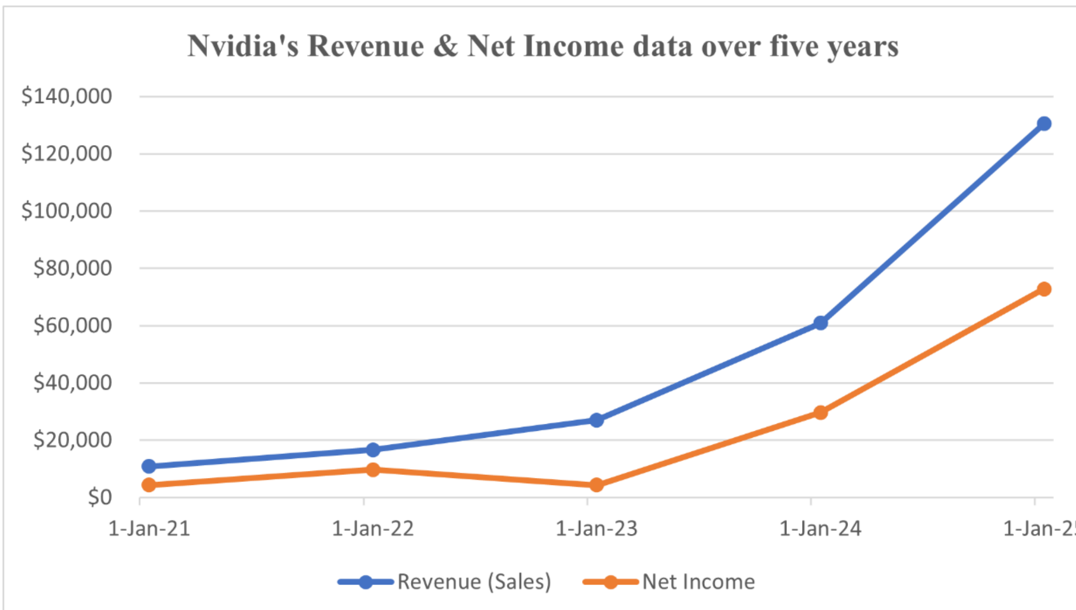
(In millions, except per share data)

Fiscal Year Ended	Revenue (Sales)	Net Income
26-Jan-25	$130,497	$72,880
28-Jan-24	$60,922	$29,760

29-Jan-23	$26,974	$4,368
30-Jan-22	$16,675	$9,752
31-Jan-21	$10,918	$4,332

Figure 1

Nvidia's Revenue & Net Income data over five years



Nvidia's Revenue & Net Income

Nvidia saw a massive growth in its sales revenues after 2023, which also increased its net income. Which is because of the increase in the use and development of artificial intelligence (AI), for which Nvidia manufactures a critical component, a chip (Yahoo.finance).

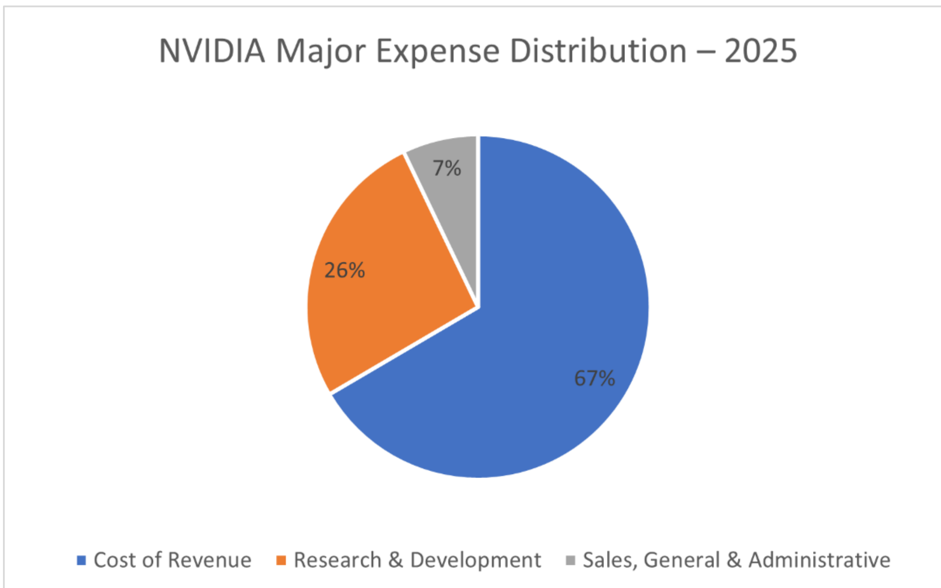
NVIDIA"S Major Expense Distribution

Category	Amount (Millions USD)
Cost of Revenue	32639

Research & Development	12914
Sales, General & Administrative	3491
Acquisition Termination Cost	0

Figure 2

Nvidia's Major Expense Distribution – 2025



Major Expense Distribution

NVIDIA's expenses are dominated by cost of revenue, which makes up about two-thirds of total costs, which reflects the high expense for producing and delivering its chips. The second major expense for the company comes in R&D, which accounts for roughly a quarter, showing strong investment in AI and GPU innovation. SG&A is small at around 7%, indicating efficient administrative and sales operations. Overall, the company's cost structure is production-heavy and innovation-focused.

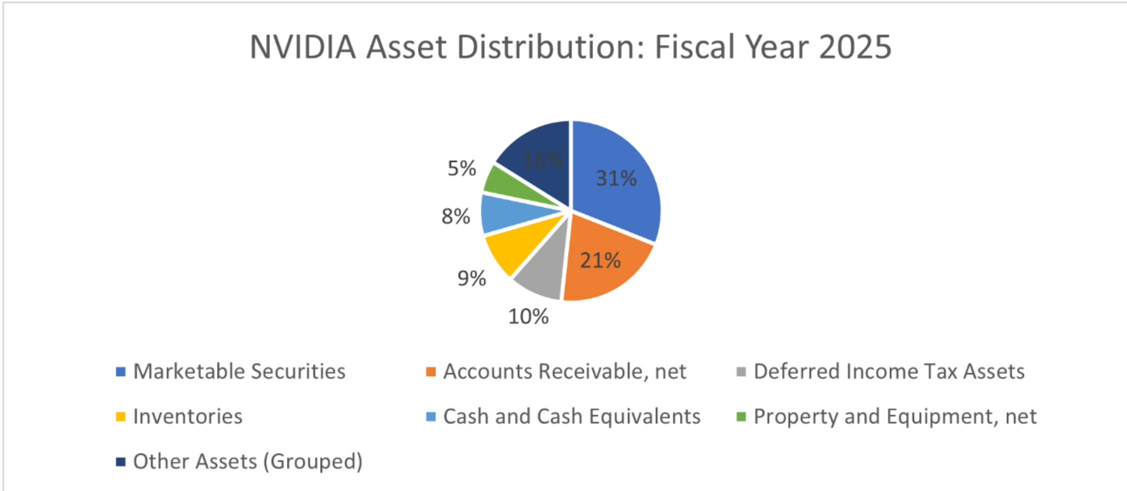
NVIDIA's Major Asset Distribution

Amount (in millions)

Marketable Securities	$34,621	31.02%
Accounts Receivable, net	$23,065	20.67%
Deferred Income Tax Assets	$10,979	9.84%
Inventories	$10,080	9.03%
Cash and Cash Equivalents	$8,589	7.70%
Property and Equipment, net	$6,283	5.63%
Other Assets (Grouped)	$17,984	16.11%
TOTAL	$111,601	**100.00%**

Figure 3

NVIDIA's Asset Distribution: Fiscal Year 2025



Area of Asset Distribution

NVIDIA's asset base is heavily concentrated in marketable securities and accounts receivable, which together represent more than half of total assets. This reflects the company's strong cash generation and large investment of excess cash into short-term securities.

NVIDIA'S Capital Accounts & Structure

Category	Year (2025)
Current Liabilities	18,047
Long-term Debt	8,463
Long-term Operating Lease Liabilities	1,519
Other Long-term Liabilities	4,245
Total Liabilities	32,274
Common Stock	24
Additional Paid-in Capital	11,237
Accumulated Other Comprehensive Income	28

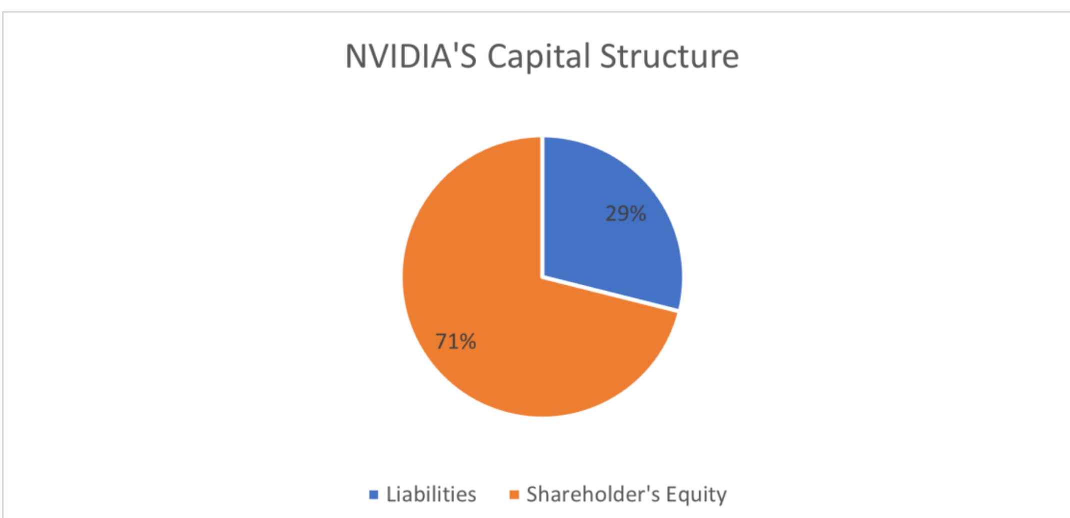
Retained Earnings	68,038
Total Shareholders' Equity	79,327
Total Liabilities and Shareholders' Equity	**111,601**

Capital Structure of NVIDIA'S

Category	Amount in Millions
Liabilities	32,274
Shareholder's Equity	79327
Total	111,601

Figure 4

NVIDIA'S Capital Structure



Capital Structure of NVIDIA

NVIDIA’s capital structure for FY 2025 is predominantly equity-based, with shareholders’ equity accounting for approximately 71% of total capital and liabilities representing about 29%. This is a very strong reliance on internal financing, low financial risk, and flexibility for future investments. The moderate level of debt suggests an easier interest burden and a conservative approach to financial leverage.

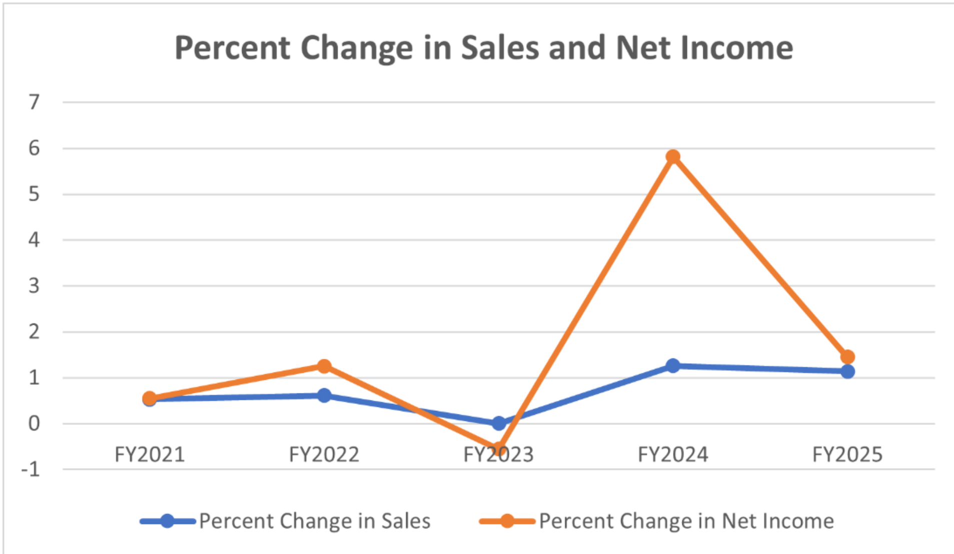
NVIDIA'S Trend Analysis

Sales and Income Record

Metric	**FY2021**	**FY2022**	**FY2023**	**FY2024**	**FY2025**
Sales ($ in millions)	16,675	26,914	26,974	60,922	130,497
Percent Change in Sales	52.75%	61.40%	0.22%	125.85%	114.20%
Mean change over 4 years					75.42%
Net Income ($ in millions)	4,332	9,752	4,368	29,760	72,880
Percent Change in Net Income	54.94%	125.10%	-55.20%	581.30%	144.90%

Figure 5

NVIDIA Annual Percent Change in Sales and Net Income (FY2022–FY2025)



Change in Sales & Net Income

The five-year (FY2021–FY2025) trend for NVIDIA's financial performance, specifically in sales and net income, is surprisingly interesting. Over the period of five years, there was an initial period of strong, traditional growth followed by a year of correction, culminating in a phase of unprecedented hypergrowth.

The trend began with robust expansion in FY2022, where both sales (61.4%) and net income (125.1%) more than doubled. This speed slowed and fell in FY2023, showing sales stagnation by 0.2% and a sharp decline of -55.2 in net income, reflecting a market correction in traditional segments.

However, the subsequent years mark the transition to the AI era (silicon.co.uk, 2024): both metrics experienced an overwhelming rebound, led by massive net income surges in FY2024 (581.3%) and continued triple-digit (125.85%) growth in sales in FY2024, and the same triple-digit trend remains for FY2025. This pattern confirms NVIDIA's pivot from conventional growth to market dominance and extreme profitability in the specialized AI infrastructure sector, especially in graphics processing units (GPUs) and other chips, over the five-year span.

Stock Price Record

Metric	**FY2020 (Dec 31, 2020)**	**FY2021 (Dec 31, 2021)**	**FY2022 (Dec 30, 2022)**	**FY2023 (Dec 29, 2023)**	**FY2024 (Dec 31, 2024)**
NVIDIA (NVDA)					
Stock price at FYE (Adj. Close)	$13.06	$29.41	$14.61	$49.52	$134.29
Dividends paid during year	$0.02	$0.02	$0.02	$0.02	$0.70
Total Return to Holders (Annual %)	122.38%	125.34%	-50.27%	239.06%	172.60%
Mean change over 4 years					121.68%
Dow Jones Index (DJI)	30,606.48	36,338.30	33,147.25	37,689.54	42,544.22
Total Return on Index (Annual %)	7.06%	18.73%	-8.78%	13.70%	12.88%
Mean change over 4 years					9.13%
S&P 500 Index (SPX)					

S & P 500 Index at FYE	3,756.07	4,766.18	3,839.50	4,769.83	5,881.63
Total Return on Index (Annual %)	-36.14%	26.89%	-19.44%	24.23%	23.31%
Mean change over 4 years					13.75%

Change in Stock Prices

The provided data clearly illustrates NVIDIA's (NVDA) exceptional performance compared to the Dow Jones Index (DJI) and the S&P 500 Index (SPX) over the four-year period from FY2020 to FY2024. While all three experienced annual volatility, particularly in FY2022, NVIDIA achieved a mean annual total return of 121.68%, vastly outperforming the DJI (9.13%) and the S&P 500 (13.75%).

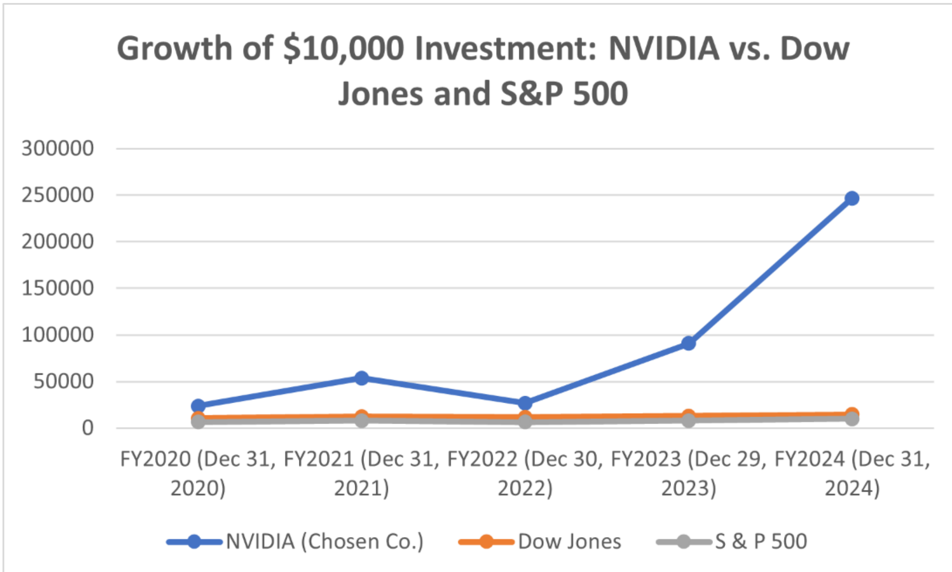
This substantial outperformance is largely driven by massive stock price increases, with NVIDIA's adjusted closing price soaring from $13.06 at the end of FY2020 to $134.29 at the end of FY2024, despite the dividends remaining low for most of the period, demonstrating its status as a high-growth stock heavily influenced by capital appreciation.

What If a person invested $10,000 in each of the 3 stocks?

Metric	**FY2020 (Dec 31, 2020)**	**FY2021 (Dec 31, 2021)**	**FY2022 (Dec 30, 2022)**	**FY2023 (Dec 29, 2023)**	**FY2024 (Dec 31, 2024)**
NVIDIA (Chosen Co.)	$23,800	$53,550	$26,775	$90,767	$246,887
Dow Jones	$10,700	$12,626	$11,616	$13,126	$14,701

S & P 500	$6,400	$8,064	$6,532	$8,099	$9,962

Figure 6



Result of $10,000 investment

The data and graph clearly demonstrate the high-risk and high-gain nature of a volatile stock like NVIDIA (NVDA) compared to broad market indices.

If a person had invested the initial $10,000 in NVIDIA, the growth would have been explosive, resulting in an ending value of nearly a quarter million dollars ($246,887) by the end of 2024. In comparison, investments in the broad market indices were far more modest, with the Dow Jones reaching $14,701 and the S&P 500 ending slightly below the initial investment at $9,962.

Conclusions and Recommendations

The financial analysis reveals that NVIDIA Corporation has transitioned from a successful graphics processing company to the dominant, high-growth leader of the global AI revolution, which is clearly reflected in its Fiscal Year (FY) 2025 results.

Key Financial Highlights (FY2025)

Explosive Revenue and Income Growth: The company recorded Revenue of $130,497 million and Net Income of $72,880 million in FY2025.

Unprecedented Growth Rates: The firm has experienced a period of unprecedented expansion, driven by the increasing demand for its Data Center/AI chips.

The Percent Change in Sales was 114.2% from FY2024 to FY2025.

The Percent Change in Net Income was 144.9% over the same period, demonstrating exceptional operating leverage and profitability. This growth is a sharp acceleration from prior years, especially the near-zero sales growth in FY2023.

Strong Financial Health: The Balance Sheet is exceptionally strong, with Total Assets of $111,601 million far exceeding Total Liabilities of $32,274 million, resulting in a robust capital structure largely funded by Shareholders' Equity of $79,327 million.

Commitment to Innovation: The company's expense structure shows a clear focus on future growth, with Research & Development (R&D) expenses ($12,914 million) being nearly four times greater than Sales, General & Administrative (SG&A) expenses ($3,491 million).

High Liquidity and Flexibility: Marketable Securities ($34,621 million) represent the largest asset category, indicating a substantial pool of liquid funds available for strategic initiatives, capital expenditures, or acquisitions.

Assessment of the Overall Status of the Firm

NVIDIA is in an extremely strong, dominant, and financially secure position. The firm’s current status can be summarized as follows:

Market Leadership and Strategic Positioning

NVIDIA is the undisputed leader "at the heart of the global AI revolution." Its strategic innovations, such as the CUDA platform and the new Blackwell architecture, have created a powerful, sticky ecosystem that is difficult for competitors to penetrate. This is validated by the historic achievement of being the first company to breach $5 trillion in market valuation on the Nasdaq in October 2025 (Reuters, 2025).

Exceptional Profitability and Efficiency

The massive growth in Net Income outpacing Revenue growth suggests strong gross margins and efficient operations. The low debt-to-equity ratio and high proportion of liquid assets further confirm a healthy, resilient financial profile capable of weathering economic downturns or periods of competitive pressure.

Innovative Culture

The firm's internal operating culture, described as the "smallest big company in the world," combined with the high R&D investment, suggests a sustained ability to innovate and maintain a technological lead in a rapidly evolving industry.

Recommendations for the Firm

Based on the analysis, the following recommendations are appropriate for NVIDIA to sustain its growth, mitigate risks, and maximize its long-term value:

Sustain Innovation

The firm must maintain aggressive R&D investment in next-generation hardware (like Blackwell and NVQ Link) while prioritizing the CUDA software platform. This dual focus is essential to maintain the technological lead and keep switching costs high for developers, securing NVIDIA's long-term competitive advantage in the AI market.

Strategic Capital Use

Utilize the substantial liquidity (cash reserves) for targeted acquisitions of specialized AI software and advanced materials firms to quickly acquire new talent and technology. Concurrently, improve Shareholder Value Management by considering a stock split, increasing dividends, or conducting a major share buyback to return a portion of the vast net income to investors.

Mitigate Key Risks

Focus on operational resilience by addressing two concentration risks. First, actively diversify the manufacturing and packaging supply chain geographically to reduce geopolitical and operational risk. Second, reduce dependence on major hyperscale cloud providers by expanding sales to a broader base, including enterprise customers and governments, to diversify the Data Center market.

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